

about three or four dollars higher. Then it went straight down again. I ended up having the biggest month of my career.

The stock always seems to reveal itself to me, especially when I have a large position and I'm watching it closely. What I have learned to recognize over my career is that I don't have to be early because I almost always see it. Maybe it's my lack of discipline that gets me in early. I want to be in early just in case I don't see it, but yet I've always seen it when it changes. It's a feeling; it's a sense. I think, *Why did I go early again? Here is my signal.* I don't get it every time for every stock, but I get it pretty often.

Tyco ultimately went even lower. What gave you the confidence to buy it when you did?

It was just a feeling.

Was it sentiment related?

It was completely sentiment related. It was the velocity of the fall that got my interest. The price move from \$27 to \$18 probably happened in about two hours' time. That was when I bought a lot more, knowing that this was an all-out panic and an opportunity.

If it had gone below your price, would you have scaled out of the position or liquidated it all?

I never buy or sell anything at the market because I'm wrong and have to get out. I have never done that in my career. I'll begin to work out of the position, and if I see it turn around, I'll get back in again, thinking that I was right all along.

So you have never had a position that made you cry uncle?

I have a lot of positions that made me cry uncle, but I don't capitulate.

[Zach speaking] Jimmy never panics. When we had the "flash crash," his first question was, "Is there something wrong with the data?" It took him about a minute to realize the price quotes weren't wrong, and he went long everything right there.

[Jimmy continues] I don't let myself panic. Even if I don't know what's going on, I'm not going to sell. I might lose 5 percent more trying to find